

Negotiable Instrument Requirements

In order for negotiable instruments to be truly negotiable, as defined by Article 3 of the Uniform Commercial Code, they must meet certain requirements. They must:

1. Be in writing.
2. Have a time limit on the payment (e.g., "on or before January 1, 2016"), or must be payable upon demand. Some negotiable instruments are not payable on demand (for example, drafts, promissory notes, and CDs) while others, such as checks, are.
3. Contain a promise or order to pay. The negotiable instrument may not contain any conditions for payment; it must be unconditional.
4. Specify the amount of money to be paid. If interest is charged for the money owed, the rate of interest, which may be fixed or variable, must appear either on the instrument itself or be referenced in an associated document.
5. Be signed by the person/entity who is making the promise or agreement to pay. An authorized agent of the maker/drawer may sign the negotiable instrument for the maker/drawer.

Each of the requirements is pointed out in the sample check below. The first requirement (that the instrument be in writing) is met by filling out the pre-printed check.

ROBERT SAMPLE
JOAN SAMPLE
123 MAIN ST.
PORTLAND, ME 04101

11/30/2011
Date

9999

3 Pay to the Order of Sample Check \$ 158.00 4
one hundred and fifty eight 00
100 Dollars

TD Bank
America's Most Convenient Bank®

For SAMPLE Joan Sample 5

0123454321 0123454321 9999
Routing Number Account Number

The "routing number" is a nine-digit number that identifies the financial institution on which the negotiable instrument was drawn.

Source for check sample: TD Bank